

The Business Value in IT Outsourcing

Hypothesis

IT outsourcing has been around long enough for enterprises to taste the fruit and judge for themselves. Key drivers to IT outsourcing include high internal costs, staff skills quality and instability, infrastructure under-utilization, and challenges in technology adoption or regulatory compliance. Yet many enterprises have not yet done a serious make-or-buy decision. Why not?

On the other hand, many who have signed IT outsourcing contracts have serious buyer's remorse. They complain about misjudging their ability and competency to manage the outsourcer, poor choices in metrics and SLAs, confusing low cost with value delivered, inflexible or outdated contract language, and other C-level headaches. Are these unhappy outsourcing customers on the way to court or are there ways to get the relationship on track?

To both those who outsource and those who do not, Aberdeen will be asking how enterprises are maximizing total business value from an outsourcing decision, to be published as a benchmark report in late June 2006.

Why Are Many Companies Ignoring Outsourcing?

Since we began quantitative tracking of IT planning issues in 2004, Aberdeen has observed five major reasons why enterprises choose to outsource some or all of their IT:

- **Focusing on core competencies** is the decision that IT excellence is best achieved by an outsider, allowing management more time for non-IT business decision-making;
- **Saving money** is what most expect to achieve, although palming off a dysfunctional IT organization's problems on a naïve outsourcer is a pipe dream;
- **IT resource constraints** are a common complaint, and include lack of talent, costly talent, staff turnover, and having the wrong IT skill-sets in a rapidly changing company;
- **Time-to-market** is a concern in highly competitive industries where IT agility is critical — outsourcer size, skills, and agility are often cited; and
- **Culture wars** happen when line-of-business management gets fed up with IT intransigence and demands change, including the nuclear “blow it up” outsourcing option as a way to start anew.

The range of outsourcing options available to companies of all sizes is extensive, and includes simple application outsourcing (e.g., e-mail) all the way to full-blown business process offshoring of major processes (e.g., general ledger or accounts payable). In spite of these options, many enterprises tell us they have never done a serious make-or-buy outsourcing decision on any segment of their IT requirements.

The first research question Aberdeen is determined to answer is what is inhibiting enterprises from taking a serious look at how operational transformation through IT outsourcing might benefit the organization?

Getting to IT Outsourcing Success: Is Failure a Prerequisite?

IT outsourcing takes skills that many companies apparently do not have. This should not be altogether surprising given the complexity of IT infrastructure, the nebulous IT performance metrics in place at many enterprises, the lack of a clear vision as to exactly what “good IT practices and results” ought to be, and the nature of the outsource contract process.

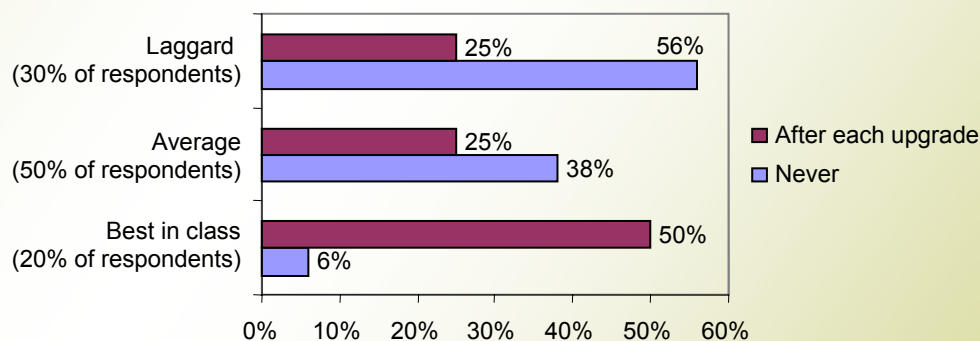
We cannot name a single company that has outsourced IT functions and not learned some lessons — often very painful lessons not to be repeated under any circumstances. Our study will probe those lessons learned with a maturity model aimed at learning from the failures and mistakes of outsourcing practitioners.

Outsourcing with Baseline Mis-Alignment

The first class of IT outsourcing customers we intend to measure are those who are clearly misaligned. This can occur when the scope is poorly understood, when inaccurate internal metrics are used to drive pricing and SLA terms, and when the business changes over time away from the outsourcing contract terms. These companies are significantly out of alignment with what they intended and contracted to do. We suspect this population represents up to 30% of IT outsourcing engagements. Moreover, these customers may not realize that they are seriously misaligned.

Figure 1 depicts IT maturity as measured by the frequency of measuring ROI after a software application upgrade or change. Over half of the companies rated best-in-class using Aberdeen’s IT maturity model measure ROI after every change, contrasted with over a third of the average and over half the laggard IT organizations. Our hypothesis is that a similar maturity spectrum effects outsourcing outcomes.

Figure 1: IT Maturity — Application Upgrade/Change ROI Measurement



Source: AberdeenGroup, [Achieving More Value from Enterprise Integration](#), May 2006

Mainstream Outsourcing that is Sub-Optimal

Our hypothesis is that half to two-thirds of IT outsourcing contracts are running at sub-optimal levels as measured by the perception of the outsourcing customer and its internal performance metrics. We will probe satisfaction levels and gather data on challenges to successful outsourcing:

- **Service Level Agreements:** Success in setting, maintaining, measuring, and aligning SLAs with the business units
- **Governance:** Process, executive responsible, capacity, management process, and ability to execute before and after contract signing
- **Preparation:** Human resources, project management, process and infrastructure fixes and freezes, and outsourcer support levels during the prep stage
- **Transition:** The process and success in transitioning the staff, infrastructure, business process, and business users to the new, outsourced mode
- **Operations:** Operational management issues and challenges running routinely
- **Change Management:** How planned and unplanned changes map to the model anticipated in the outsourcing contract
- **Pricing:** How planned and unplanned pricing in the contract maps to actual results and the reasons for the discrepancies
- **Conflict Resolution:** How pervasive, deep, and ongoing are conflicts with the outsourcer? What contractual conflict resolution steps worked and where did the parties step outside the contract? Is remediation a viable alternative to litigation?
- **Metrics:** How did companies perform before and after outsourcing, and how does that map to their IT and management maturity?

Finding the Optimal Outsourcing Partnership

Our hypothesis is that 5-10% of multi-million dollar IT outsourcing agreements are driving all of the anticipated business value to the buyer's business. Our planned research will identify such companies and use a combination of survey and interview techniques to extract the metrics and techniques used by these enterprises to drive business value success in a true partnership with the outsourcer. We will answer the question, "how are companies successfully outsourcing and capturing the business value planned for the outsourcing contract?"

Summary

Aberdeen is embarking on a benchmark of IT outsourcing because prior research indicates a high level of dissatisfaction with outsourcing in general. We are also continually deepening our knowledge of the IT organizational maturity, with over 2,000 companies surveyed on IT in the past two years. From these data, we know that there is a wide spectrum of IT maturity levels across numerous metrics.

The Aberdeen report, *The Business Value in IT Outsourcing*, will benchmark all size companies in the Global 5000 across all industries. The report will summarize the findings on why IT outsourcing projects become sub-optimal, how companies are aligning their outsourcing contracts and operations to maximize measurable business value, with recommendations for how outsourcing companies can improve their performance and outsourcing maturity. In short, how companies can get and keep on track to business value.

Companies interested in participating anonymously in the study research, or in receiving an executive summary of the report when issued in late June 2006, should [contact the author](#), Peter Kastner, VP and Research Director, Enterprise Integration.

Related Research

[*The SOA in IT Benchmark Report,*](#)

December 2005

[*Achieving More Value from Enterprise*](#)

[*Integration Benchmark Report,*](#)

May 2006

[*Why Aberdeen Group is Focusing on Enterprise*](#)

[*IT Integration*](#)

February 2006

[*Enterprise Integration Research Agenda*](#)

February 2006

Author: Peter S. Kastner, VP Enterprise Integration Research, peter.kastner@aberdeen.com.

Founded in 1988, **AberdeenGroup** is the technology- driven research destination of choice for the global business executive. **AberdeenGroup** has over 100,000 research members in over 36 countries around the world that both participate in and direct the most comprehensive technology-driven value chain research in the market. Through its continued fact-based research, benchmarking, and actionable analysis, **AberdeenGroup** offers global business and technology executives a unique mix of actionable research, KPIs, tools, and services.

This document is the result of research performed by **AberdeenGroup**. **AberdeenGroup** believes its findings are objective and represent the best analysis available at the time of publication. Unless otherwise noted, the entire contents of this publication are copyrighted by **AberdeenGroup**, Inc. and may not be reproduced, stored in a retrieval system, or transmitted in any form or by any means without prior written consent by **Aberdeen Group**, Inc.